riskier, assets into an investment account. This flexibility requires numerous additional rules. One such rule is that any investment in this account can't benefit the account owner "indirectly." For example, an indirectly beneficial investment in a self-directed IRA would be the use of funds to buy a vacation home or other piece of real estate that the account owner would use personally.[6] These accounts often come with costly maintenance and management fees, so while they are useful, they require proper due diligence and care.

The second leg of the BIT wasn't always available. In early May 2015, the Financial Industry Regulatory Authority (FINRA) gave Grayscale the regulatory approval needed to allow the BIT to become a publicly traded vehicle on OTCQX.[7] On May 4, 2015, the very first accredited investors who had bought into the BIT were given the option to sell their shares of GBTC in the OTCQX market.[8] The first trade was for 2 shares of GBTC at $44/share. Through the entire day there were just 765 shares traded, or just over 75 bitcoin. Admittedly a thin market, but this day in May was the first time a bitcoin vehicle was traded on a regulated U.S. capital market.

Through the first quarter of 2017, there is plenty of reason to be excited about the BIT and GBTC,[9] but they are far from perfect vehicles. Grayscale's creativity in allowing accredited investors to buy into a one-year lockup before selling in public markets does have a drawback. Unlike ETFs or mutual funds,